EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

Rizal is Cagayan's epic town where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The LGU is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2017, the Municipality of Rizal had a total of 82 personnel complement with 69 permanent, 11 elective and 2 co-terminus.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2017 with comparative figures for CY 2016 are as follows:

	2017	2016	Increase/ (Decrease)
Financial Position			
Total Assets	₱ 101,853,144.78	₱ 84,629,709.23	17,223,435.55
Total Liabilities	32,233,770.27	27,343,634.53	4,890,135.74
Total Government Equity	69,619,374.51	57,286,074.70	12,333,299.81
Financial Performance			
Total Income	73,876,848.99	66,930,553.53	6,946,295.66
Total Expenses	62,089,117.34	58,960,987.50	3,128,129.84

	2017	2016	Increase/ (Decrease)
Appropriations, Allotments and Obligations			
Total Appropriations-Current	73,121,094.21	66,865,572.40	6,255,521.81
Total Obligations	62,817,737.06	62,029,505.32	788,231.74
Appropriations-Continuing	-	-	-
Obligations-Continuing	-	-	-

During the CY 2017, the Municipality of Rizal received a total of ₱47,768,401.29 from other government agencies and made no fund transfer to any government agency, as follows:

	2017	2016	Increase/ (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱47,768,401.29	₱14,614,665.00	₱33,153,736.29
Local Government Units	160,831.21	-	160,831.21
Non-Government Organizations/People's Organizations (NGOs/POs)	-	-	-
Others	-	-	-
Total	**₱47,929,232.50**	**₱14,614,665.00**	**₱33,314,567.50**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	-	-	-
NGOs/POs	-	-	-
Total	**₱ -**	**₱ -**	**₱ -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Rizal for the year ended December 31, 2017 due to the following:

1. The propriety and reliability of the recorded Property, Plant and Equipment account with carrying amount of ₱58,134,717.99 could not be ascertained because Management did not maintain adequate accounting and property records and did not conduct the annual physical count of its properties as required by Sections 119, 120 and 124, Volume I of the Manual on New Government Accounting System (NGAS) for Local Government Units (LGUs) and Section 122 of Presidential Decree (P.D.) No. 1445.

2. There is an unreconciled difference of P169,272.56 in the Cash in Bank account and in the balances confirmed by depository banks as a result of the continued non-preparation of Bank Reconciliation Statements to establish the reliability and accuracy of the Cash in Bank – Local Currency- Savings Account of P22,292,779.71.

3. Accumulated cash advances in the total amount of P5,007,132.19 remained unsettled as of December 31, 2017 due to the lax monitoring system in the grant, utilization and liquidation, resulting in the non-recording of expenses in the year they were incurred and consequently, in the understatement of the expense account and overstatement of the asset and equity accounts.

4. There were no documents or records that will support the details of the transaction/s and the rightful names of government agencies pertaining to the "Due from Government Owned and/or Controlled Corporations (GOCCs)" and "Due from Local Government Units (LGUs)" totaling to P2,162,643.29 and P1,916,881.80, respectively, as of December 31, 2017, thus, the rightfulness of the Management's claim cannot be established, contrary to Section 111 of P.D. 1445.

D. Summary of Significant Observations and Recommendations

1. The Disbursement Vouchers (DVs) together with the supporting documents relative to the full payment of the Project "Concreting of Liuan Farm-to-Market Road with a total contract cost of 1,099,640.98 were not submitted for audit. Furthermore, incomplete supporting documents were submitted for the project "Construction of Duyun Farm To Market-Road" amounting to P1,291,174.53 opposing the provisions of Section 4(6) and Section 39 of P.D. 1445, COA Circular No. 2012-001 dated June 14, 2012 and Section 28 of the Manual on the New Government Accounting System (NGAS), Volume 1, which require the submission of proper evidence and necessary documents to support disbursements of government funds.

   We recommended that Management immediately submit for audit all subject DVs together with the related supporting documents otherwise the issuance of Notice of Disallowance and/or Suspension is necessary, as the case may be.

2. Incomplete bidding documents were submitted for the two infrastructure projects with a total contract cost of P2,390,815.51 funded out of the Share from Tobacco Excise Tax which is not in accord with the provisions of the Revised Implementing Rules and Regulations (IRR) of Republic Act No. 9184 and the Philippine Bidding Documents (PBD) prescribed under Government Procurement and Policy Board (GPPB) Resolution No. 06-2010 dated December 17, 2010.

   We recommended that Management submit the identified lacking documents to support the public bidding conducted and strictly observe the documentary and

procedural requirements of the Procurement Law to preclude the issuance of Notice of Suspension and/or Disallowance.

3. The cost of supplies and materials in the total amount of P2,658,870.31 procured in year 2017 were treated as outright expense instead of the inventory accounts, which is not in accord to Sections 51 and 114, Volume 1 of the Manual on NGAS for LGUS, thus, the asset and expense account is misstated.

   We recommended Management to:

   a. direct the Municipal Accountant adopt the perpetual inventory method for supplies and materials;

   b. provide budget for storage for the supply requirements, otherwise, if no available storage area is available we recommend to establish control procedures to regulate the issuance to the end-users within a month; and

   c. a central procurement system should be introduced by establishing the actual needs of each section offices as documented in the Annual Procurement Plan.

4. The Municipal Treasurer is not maintaining separate bank accounts for Special Education Fund and General Fund in violation to Section 310 of RA 7160 and Section 3 of COA Circular 92-382 which may lead to misuse of each fund. Subsidiary Ledger for each type of fund is not accomplished contrary to Section 114 of PD 1145 and Section 10 Vol. II of the Manual on NGAS.

   We recommended that the Municipal Treasurer open a separate bank account through an approved resolution by the Sangguniang Bayan for Special Education Fund to proper monitor the funds and for better determination of the balance for each fund. We also recommend that detailed subsidiary ledgers be maintained for each type of fund to properly and accurately record the transactions involved.

5. The Notice of Suspension totalling ₱15,304,278.9 still remained unsettled as of December 31, 2017, contrary to COA Circular No. 2009-006 which prescribes the Rules and Regulation on the Settlement of Accounts. Also the balance of Receivable – Disallowance/Charge account totalling P91,512.35 has been outstanding in the books of accounts.

   We recommended that Management enforce the immediate settlement of the suspended transactions by the submission of complete supporting documents required in the Notices of Suspension. Otherwise, the appropriate Notice of Disallowance shall be issued immediately as the prescribed period to settle the suspended transactions have already lapsed. Likewise, we recommend that Management should strictly enforce the settlement or payment of the long outstanding disallowance amounting to P91,512.35.

E. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions as of December 31, 2017 is summarized bellows. There were no disallowances and charges during the year.

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0%
Current Year	P 15,304,278.96	-	-	P 15,304,278.96	0%
Total	**P 15,304,278.96**	-	-	**P 15,304,278.96**	0%

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the 16 audit recommendations embodied in the 2016 Annual Audit Report, two (2) were implemented, two (2) were partially implemented and twelve (12) were not implemented.